

Question 1

Gross domestic (GDP) can be estimated in three ways:
Which of the following is NOT a way of estimating GDP

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a Income Method

b Productions (or value added)

c Export Receipts

d Expenditure Method

Correct Answer:

✓ **c** - Export Receipts

Question 2

Components of GDP:

Goods and services purchased by households are categorised as:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|----------|----------------------|
| a | Government Spending |
| b | Import Payments |
| c | Investment Spending |
| d | Consumption Spending |

Correct Answer:

✓ **d** - Consumption Spending



Question 3

Components of GDP:

Spending by firms on new equipment and new commercial buildings (plus residential structures) is categorised as:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a

Government Spending

b

Import Payments

c

Investment Spending

d

Consumption Spending

Correct Answer:

✓ **c** - Investment Spending

Question 4

Components of GDP:

Consumption and investment purchases by government are categorised as:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a	Export Receipts
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b	Import Payments
----------	-----------------

c	Investment Spending
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d	Government Spending
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Correct Answer:

✓ **d** - Government Spending



Question 5

Components of GDP

The trade balance is also known as:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|----------|-------------|
| a | Exports |
| b | Imports |
| c | Net Exports |
| d | Net Imports |

Correct Answer:

✓ **c** - Net Exports



Question 6

Inflation is:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a

Rising house prices

b

A rising general price level.

c

Falling taxes

d

A falling general price level.

Correct Answer:



b - A rising general price level.



Question 7

An example of the relationship between output and unemployment under Okun's Law is:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a Higher growth → higher unemployment

b Lower growth → lower unemployment

c Higher growth → lower unemployment

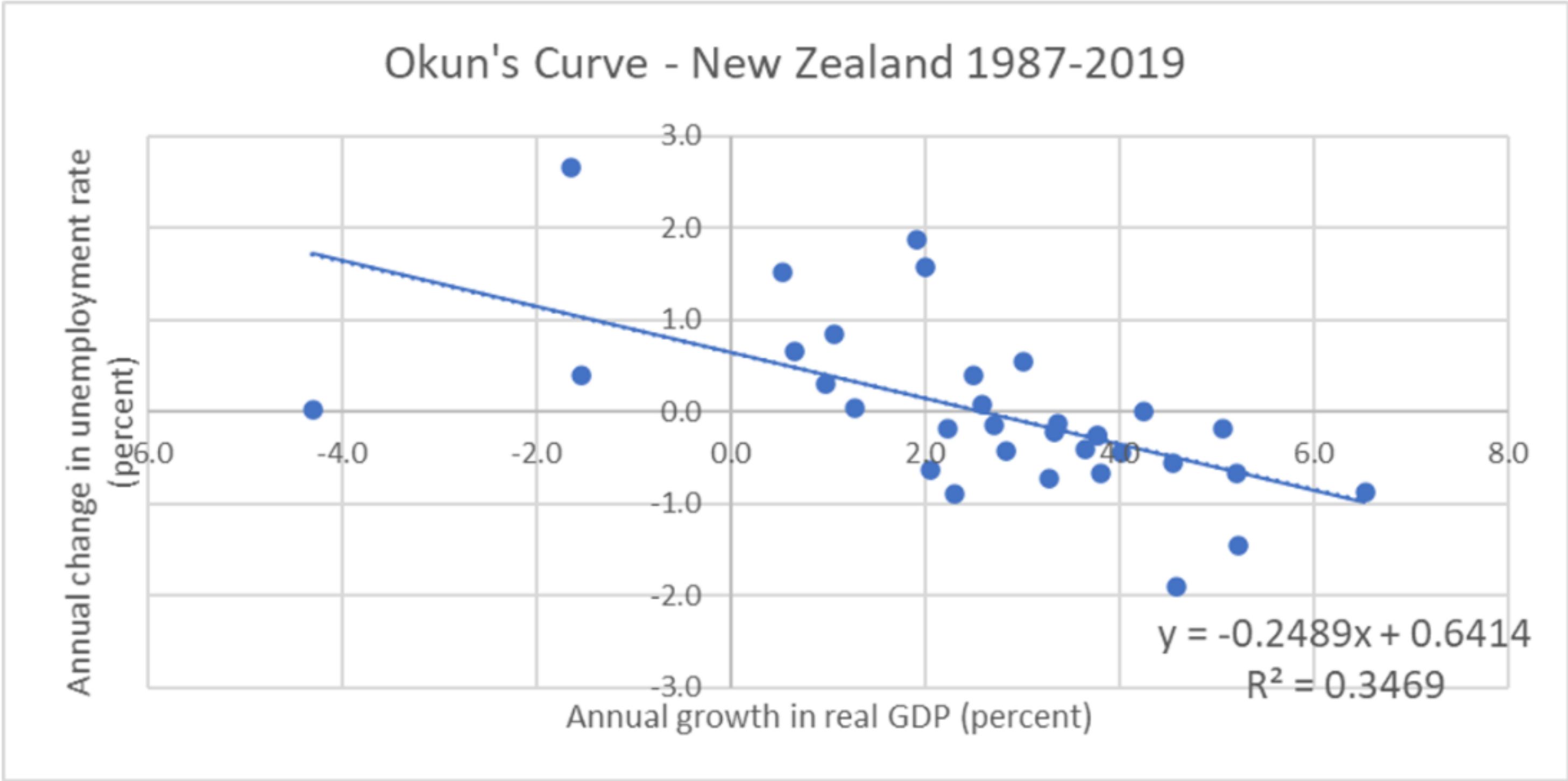
d Lower growth → higher employment

Correct Answer:

✓ **c** - Higher growth → lower unemployment

Question 8

The equation for the Okun's curve below is: $y = -0.2489x + 0.6414$.
Okun's coefficient is:



Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

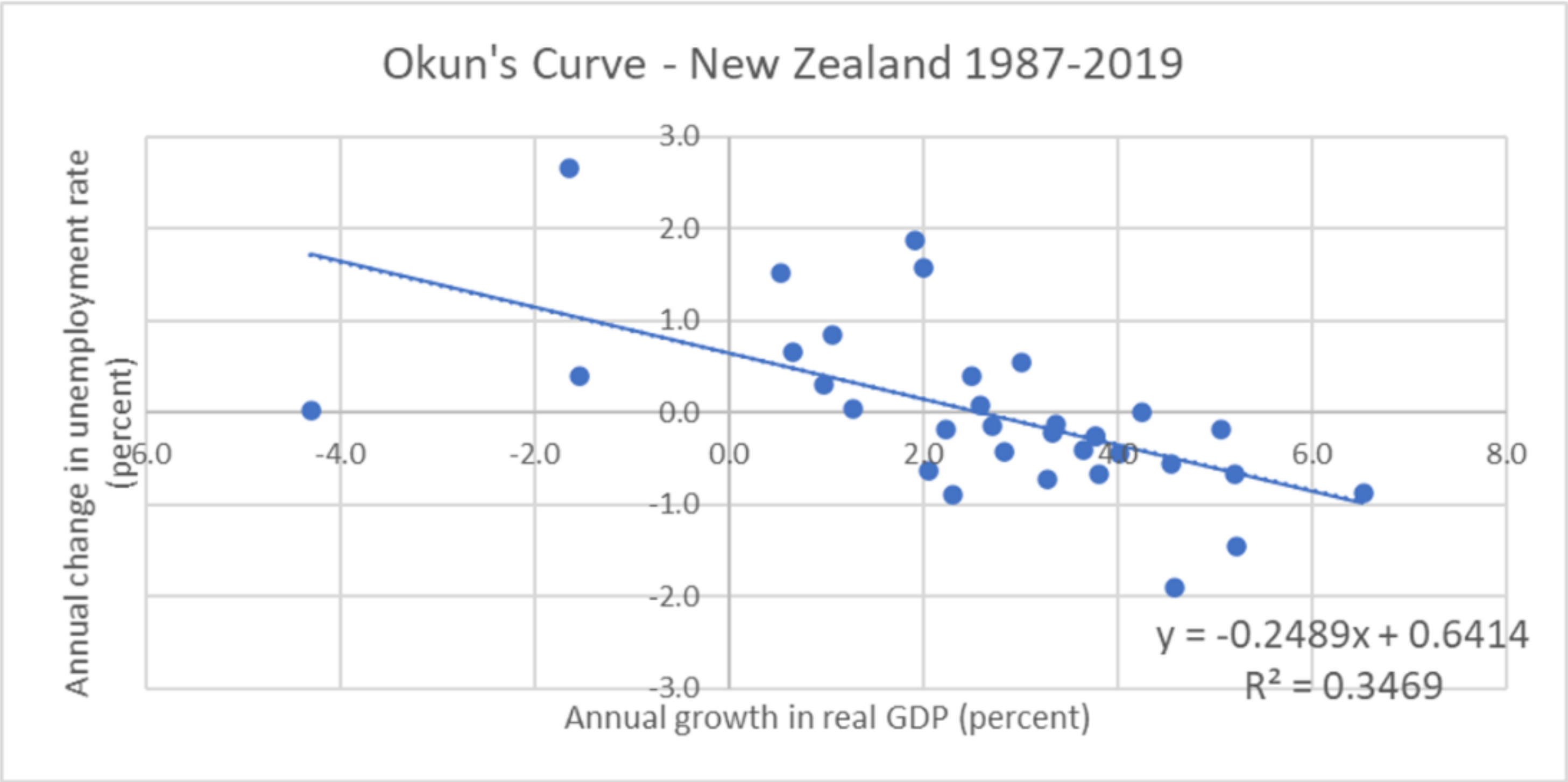
- | | |
|---|---------|
| a | -0.2489 |
| b | 0.6414 |
| c | 0.8903 |
| d | 0.3469 |

Correct Answer:

✓ a - -0.2489

 Question 9

The equation for the Okun's curve below is: $y = -0.2489x + 0.6414$.
If the growth rate of GDP in New Zealand was 1.5 percent in 2020, the change in the unemployment rate (as predicted by the Okun's curve in the figure above) will be:



Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

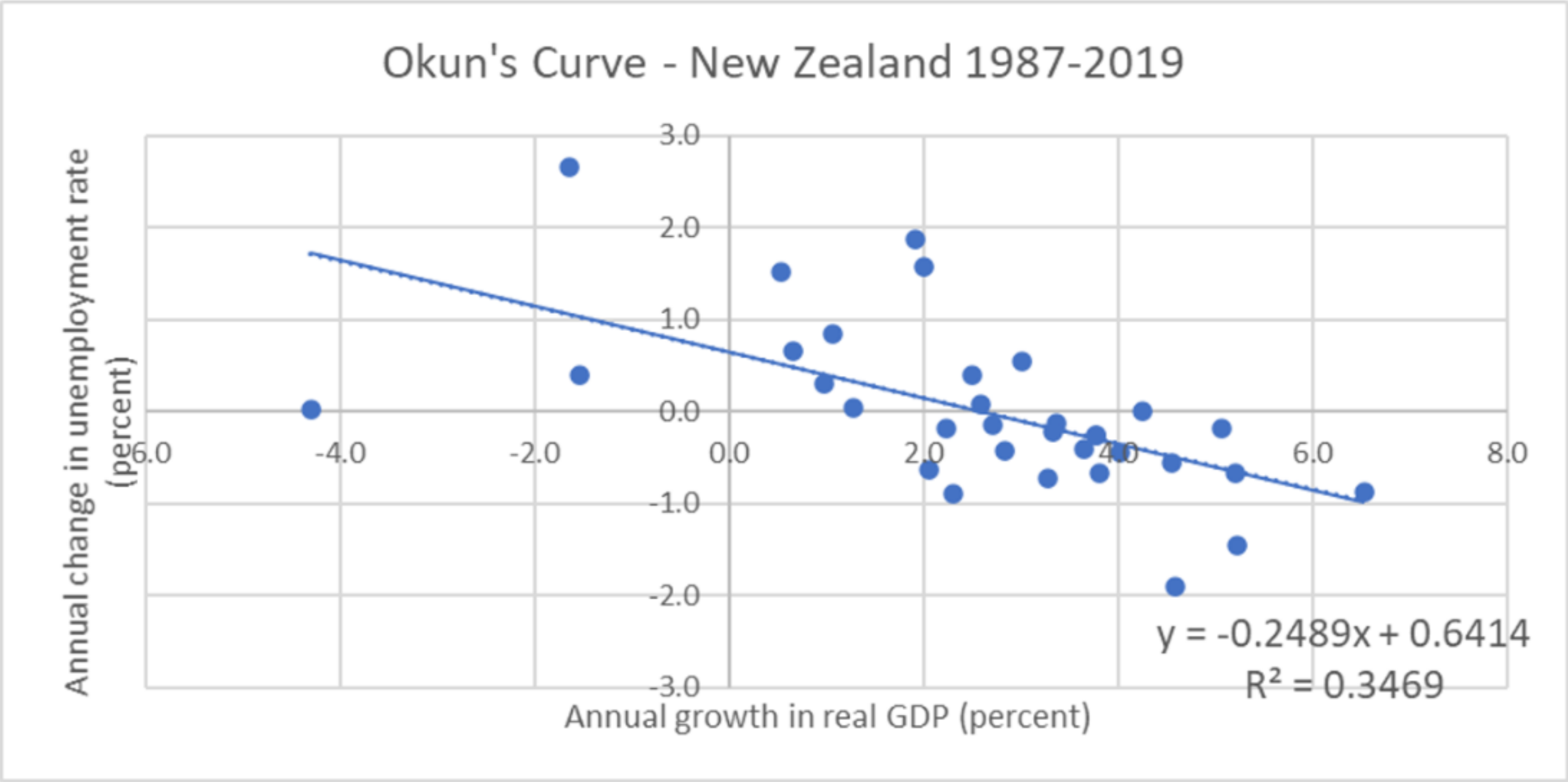
- | | |
|----------|----------|
| a | 0.374 % |
| b | -0.249 % |
| c | -0.268 % |
| d | 0.268 % |

Correct Answer:

✓ d - 0.268 %

 Question 10

The equation for the Okun's curve below is: $y = -0.2489x + 0.6414$.
If the growth rate of GDP in New Zealand fell to 0.5 percent in 2021, the change in the unemployment rate (as predicted by the Okun's curve in the figure above) will be:



Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

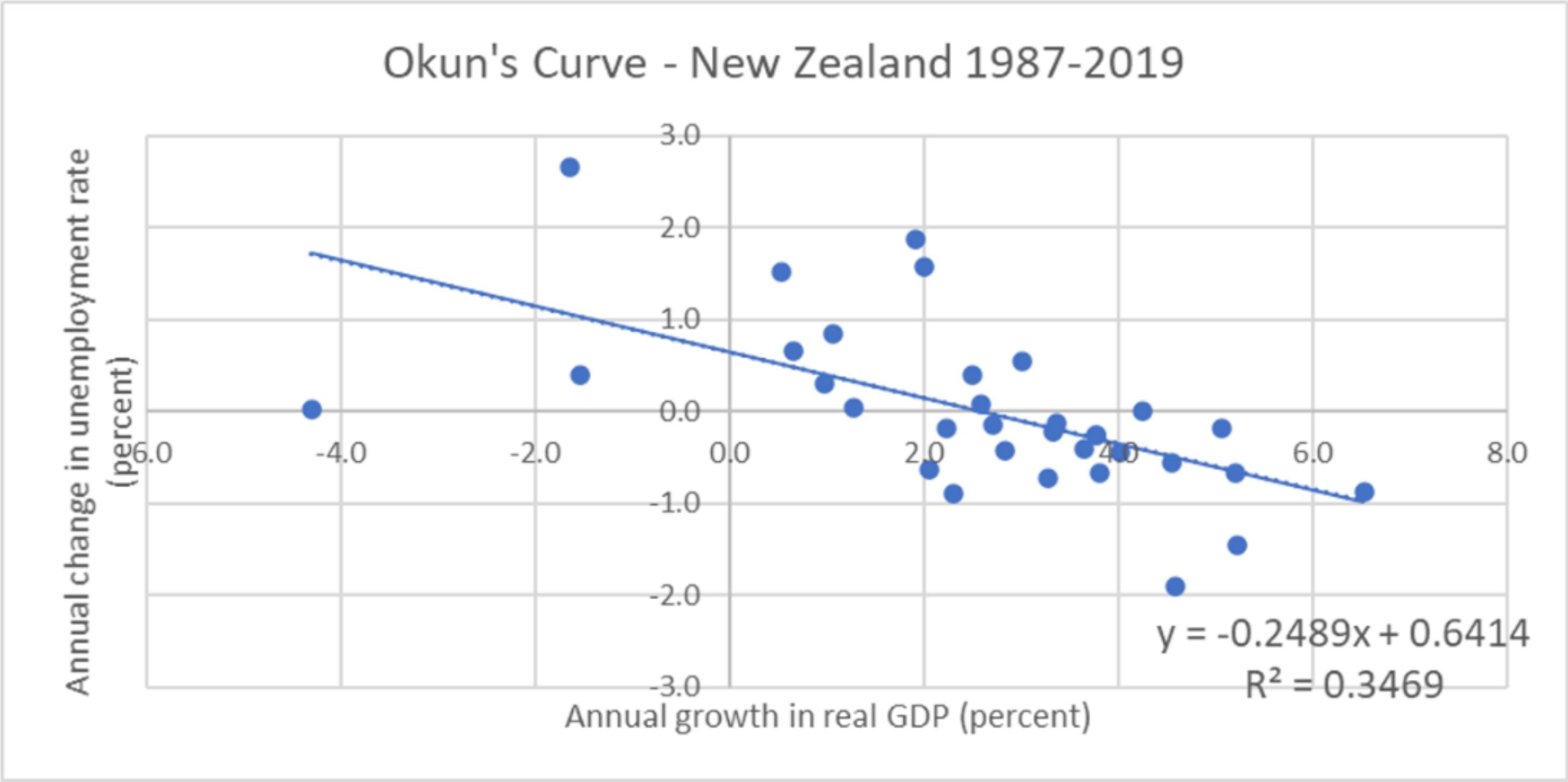
- | | |
|---|----------|
| a | 0.125 % |
| b | -0.249% |
| c | 0.517 % |
| d | -0.517 % |

Correct Answer:

✓ c - 0.517 %

 Question 11

The equation for the Okun's curve below is: $y = -0.2489x + 0.6414$.
Between 2020 and 2021, the growth rate of GDP in New Zealand fell by 1 percent (from 1.5 percent in 2020 to 0.5 percent in 2021). The predicted change in the unemployment rate as a result of this change will be:



Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|------------------------|
| a | an increase of 0.268 % |
| b | an increase of 0.025 % |
| c | an increase of 0.517 % |
| d | an increase of 0.249 % |

Correct Answer:

✓ d - an increase of 0.249 %



Question 12

Fill in the Blanks

Type your answers in all of the blanks and submit

X_2

X^2

Ω

Write your response here...

is aggregate demand for what is produced in the country; equal to $C + I + G + NX$

Correct Answer:



GDP

Question 13

Fill in the Blanks

Type your answers in all of the blanks and submit

X_2 X^2 Ω ▾

Write your response here...

are domestically produced goods and services that are purchased by households,

firms, and governments in other countries.

Correct Answer:

✓ Exports (x)



Question 14

Fill in the Blanks

Type your answers in all of the blanks and submit

X_a

X^a

Ω

Write your response here...

is the consumption and investment purchases by the government (consisting of

central and local government, often called 'general government').

Correct Answer:



Government spending (G)



Question 15

Fill in the Blanks

Type your answers in all of the blanks and submit

X_2

X^2

Ω

Write your response here...

is the spending by firms on new equipment and new commercial buildings; and

spending on residential structures (the construction of new housing).

Correct Answer:

✓ Investment (I)



Question 16

Fill in the Blanks

Type your answers in all of the blanks and submit

X_2

X^2

Ω

Write your response here...

are goods and services purchased by households, firms, and governments in the

home economy that are produced in other countries.

Correct Answer:

✓ Imports (M)



Question 17

Fill in the Blanks

Type your answers in all of the blanks and submit

X_2

X^2

Ω ▾

Write your response here...

is the goods and services purchased by households.

Correct Answer:

✓ Consumption spending (C)